FOREX

THE CORE OF PRICE ACTION

WITH THE 3W SYSTEM



BY- SUMIT DAS

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LEARN THE CORE OF PRICE ACTION

TRADING FOR CONSISTANT RESULT AND

PROFIT

WITH 3W SYSTEM

{BY- SUMIT}

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If you think only reading this book will make you profitable than sorry to tell you it will not, i am not here to sell you dream.

What other people are doing right now, i am not showing you my trade result as most writers do so that you can buy there book am here with the truth what you really need to know. Truth - 1 do you really make money in Forex? Yes you can really make a ton of money in Forex no doubt about it and people are doing it right now.

BUT

Only few people able to do that

and if you really want to be on that list than ask your self do you have patience to wait for set up to come in to play . Are u discipline, what about greed and fear.

Those people who are making a killing with there Forex trade is because they have patience they are discipline they don't let greed and fear control them.

And most important thing of all they trust there system. So am I.

Now here is a challenge for you

This challenge will change your life if you really want to trade for living and make real money in Forex and make all your dreams come to realty okay. Are you ready to accept it? I promise you will not lose anything and you can gain a lot with this challenge.

Now listen carefully here is my challenge

1. **Read this book from starting to end.**
2. **Open a demo account and trade the system.**
3. **Fallow all the rules and money management techniques.**
4. **Don't forget to use 2% rule.**
5. **Try to end your month in loss.**

Do this and try to end your month in loss. If you do that you win. This is first not

going to happen second you will able to grow your account at least 10% for sure in worst case scenario.

"If you know about fund managers they offer 4%-5% growth for you investment in monthly basis"

If you do that than you can see how effective this system is and you don't have to worry about loss or market turn against you compare both the system the one you using and this one try to understand which one is simple and effective. I bet this is one on that's going to win. A really stress free system which make consistent flow of income in Forex market.

Why this book

Well you may have been trying so many systems and strategy so far some of them will be good some of them will be failure than what this book have new that others don't.

Well this method which I am going to revel today has 3W, and without it no system can give you profit, so now the question stand what is 3W.

1. When to trade – most of the new bee that enters in Forex, stock or any financial market don't know when to trade what is right time to look for set up.

We should be always looking for trade when market is moving in any particular direction no matter is it is an Uptrend or down trend, or market has bias that it want to go up or down, if market is ranging then it is just waiting for to clear it mind. So we should not be looking for trade in that time, we should better utilize our money in the market which has momentum or a direction.

I know the book is getting exited okay but have patience okay if you want to be successful trader than you must have patience.

2. Where to look –the strategy which I am going to discus today also going to explain where should you looking for the trade not like most of the method where you are just waiting for the breakout or indicator to give you thumbs up, with this system we exactly know where we should look for the trade. That make this system a whole lot easier and u can trade in relax way. You have advantage u know where we should be looking trade where everyone else just tired of finding the setup and making calculation and scratching there head, most of you don't know but market tell us the story you just have to listen to it and act according to it .

3. What to look- it is the third advantage we have with the system now you may be asking how? Well because we are looking a proper price action to find our trade not so many candle stick just 2 or 3 simple price action okay and there are very easy to find and you can see them miles away in your chart. If we have a proper

price action we should look for trade if we don't we don't take the trade we stay out, a penny save is a penny earned. And don't worry about missing the trade. Because we get lots of opportunity every day and day by day you know why because market has a behavior to repeat the things and you see that price action again and again.

Now look at this chart



What you see may be some candles but when you done with this book you see opportunity.

Risk disclaimer

Trading foreign exchange on margin carries a high level of risk, and may not be suitable for all investors. Past performance is not indicative of future results. The high degree of leverage can work against you as well as for you. Before deciding to invest in foreign exchange you should carefully consider your investment objectives, level of experience, and risk appetite. The possibility exists that you could sustain a loss of some or all of your initial investment and therefore you should not invest money that you cannot afford to lose. You should be aware of all the risks associated with foreign exchange trading, and seek advice from an independent financial advisor if you have any doubts.

Trading foreign currencies can be a challenging and potentially profitable opportunity for investors. However, before deciding to participate in the Forex market, you should carefully consider your investment objectives, level of experience, and risk appetite. Most importantly, do not invest money you cannot afford to lose.

There is considerable exposure to risk in any foreign exchange transaction. Any transaction involving currencies involves risks including, but not limited to, the potential for changing political and/or economic conditions that may substantially affect the price or liquidity of a currency. Investments in foreign exchange speculation may also be susceptible to sharp rises and falls as the relevant market values fluctuate. The leveraged nature of Forex trading means that any market movement will have an equally proportional effect on your deposited funds. This may work against you as well as for you. Not only may investors get back less than they invested, but in the case of higher risk strategies, investors may lose the entirety of their investment. It is for this reason that when speculating in such markets it is advisable to use only risk capital.

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HOW MARKET MOVES

Well you are trader, do you really know how market move? Because as a trader it is very important to know what how market behaves and market moves. Successful traders know how market move and they make there trading plan according to it. That's why profitable trader never hurries to enter a trade because he knows market will give him next opportunity soon.

Most of you have no idea what I am talking about?

For being a profitable it is very important to know how market makes a move in uptrend or downtrend

What if I say that market always have a direction or trend most of you will laugh and show me range bound Market , and ask me where is trend here

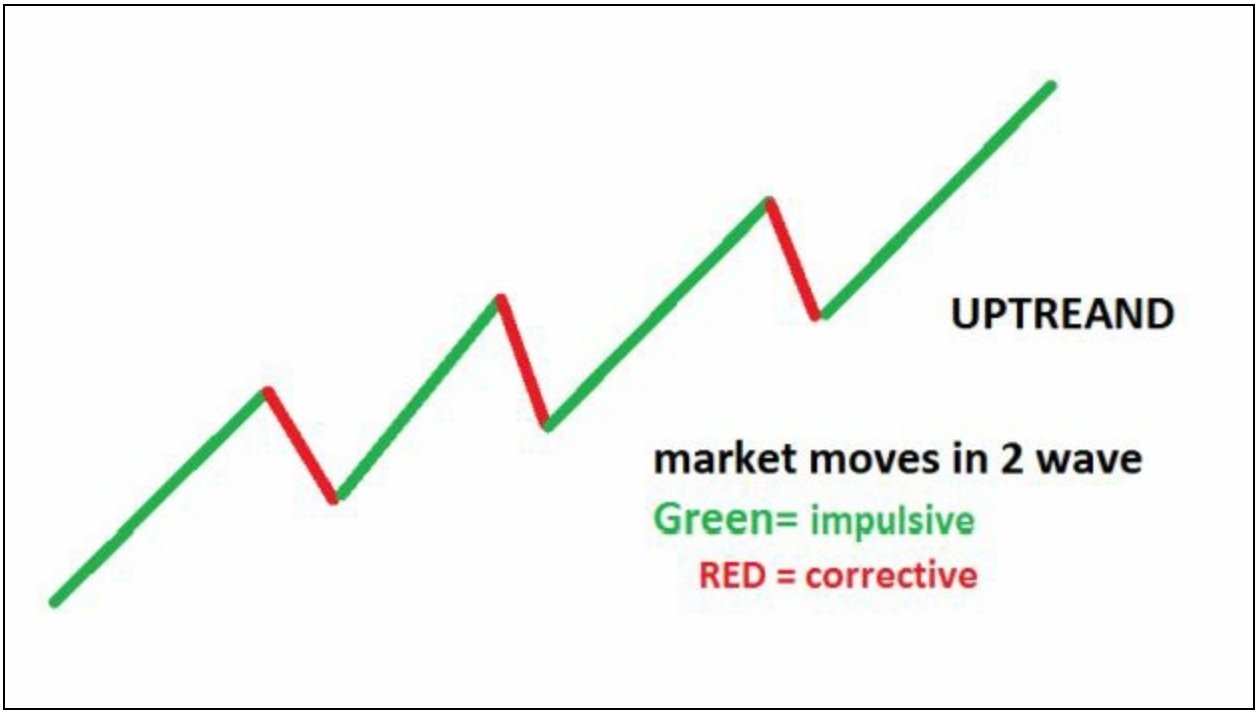


But guys if market is not trading in particular time frame it does not mean that it is not trading in smaller time or same with the larger time. If you change the time frame than you may see a trend in smaller time frame. So don't think that market is ranging 80% of time. you should be looking at proper time frame and find a trending market to for look for trades.



Market is likes to move in trend so let's break it down for you. In every trend no matter if it is a uptrend or down trend we got a impulsive move and we got a corrective move ,and if you have a experience with financial market you will see this kind of chart again and again.

Chart



Now question stand why it moves like that well there are 2 ways to describe it.

1. One is because the market is exhausted and it generating the strength again to do an impulsive move so the small corrective move is not more than a breathing time. Where market needs a rest to make a new swing or impulsive move some say it generating strength to break support or resistance area.

2.it is more of psychology – suppose you are a trader at point (A) you have taken a long here now market moves in you direction and respect your trade now you are sitting with profit in point (b) now what you do . You want to cash your trade make some profit so you close

Chart



Your trade at that point , now on that position some stubborn traders are also there who still want to short so what they think that the move is just over and now it is time to short now and they want to try to catch the top so market move side way but it will not have the momentum because it is just a corrective move and after some time trending side way the price get strength and it break all the resistance and move up or start a new impulsive move .

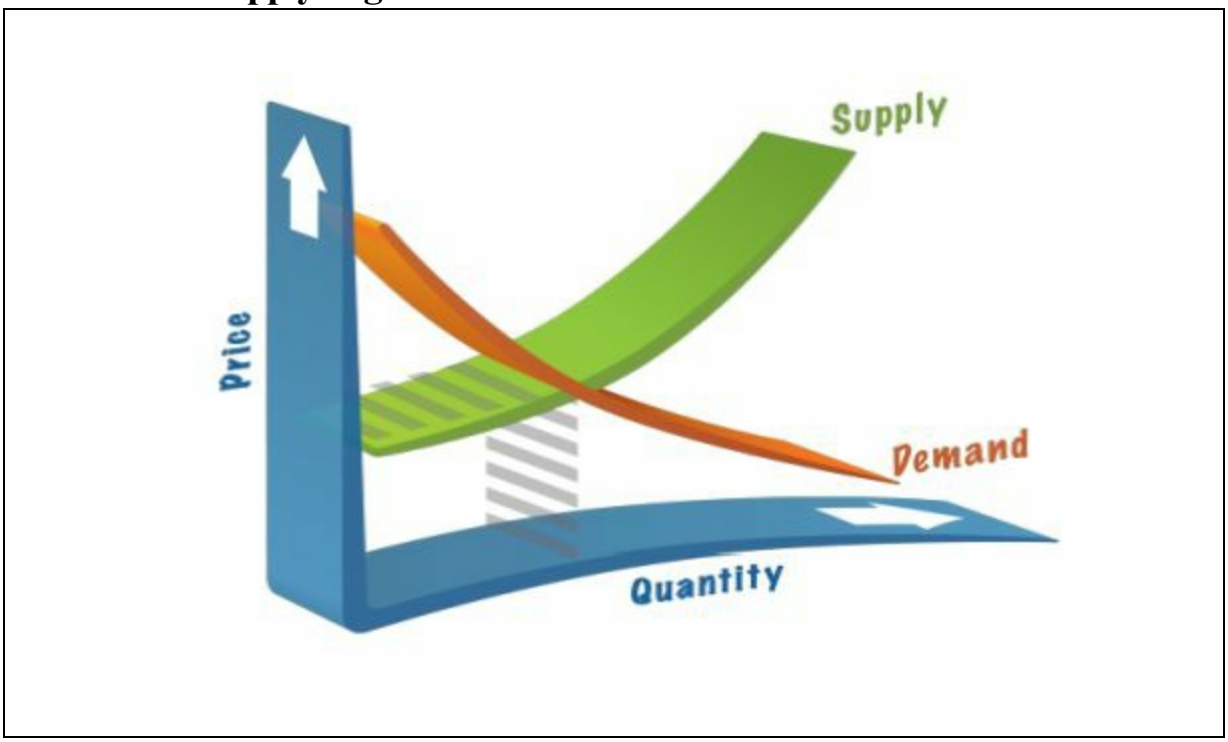
WHAT DRIVE PRICE

It is very important to understand the concept behind price because it is going to help us in future with not only this but all the others trading system, so what the secrete why price move and do it up and down thing what is here that move price and the answer is it move only because of supply and demand,



You will find supply and demand in any financial concept or any market to our grocery to real state the price of certain thing only moves because of soppy and demand.

For example if there is a heavy demand and low supply of certain ice cream the price of that ice cream will be increase by the merchant to earn more money because the supply is greater than demand.



Vice versa we do have a lower price if supply > demand, because now we have wide spread of supply and can choose the ice cream with lowest price.

Merchants needs to lower price to stay competitive and be able to sell his ice cream.

FINDING TREANDING MARKET

Finding a trending market it is easy but people are so caught up with indicator and all that news and stuff they clearly ignore what is in the chart.

To check a market is trending or in side

Up trend – well look how swings are made if market is making higher high and lower high that means it is in

UPTREND

look at this chart.



In the previous chart you can see market is going up now market is in uptrend, the green trend line show impulsive move and the red line show corrective move and it is simple like that when impulsive move end it make a higher high and after that corrective move when this move end you can see a higher low and the wave goes on like that for an uptrend.

DOWNTREND

Same definition if price is making lower low and lower high that means the trend is down , it just simple not a rocket science so don't get confuse next time with you indicator to decide that where market is going here is the chart see for yourself .

Now below in eur/usd chat we see a down trend price movement here you can see price is making a lower low and lower high, now in that the red line is a impulsive move and the green line is corrective move

Some phenomena here as well when a impulsive move end it make a lower low and when corrective move end it make higher low and price keep going with that, and making a clear down trend I don't think you need any indicator to tell you where price Is going or what trend is it.



MULTIPLE TIME FRAME ANALYSIS

Most of the newbie don't know what right time frame to take a trade is and if you want my opinion than it is all depends on you experience and where you feel comfortable and what is your style

Like if you want to trade in intraday than you cannot think of trading in 4 hour chart because it will be irrelevant to do that.

Same with swing trade if you looking for a swing trade than you should not be looking for trade in 5m, 15m chat.

If you want my opinion than I would suggest you to trade in 4hour chart because it will remove noise and most of the time give you clear picture where market is going and less you trade less you lose and more you learn and all we want to learn in our starting days of trading , so for 6 month you should trade in daily and 4 hour chart and once you get confidence in trading you can look for trade in 1 hour also.

Now let's get to the point why should we always do multiple time frame analysis before we took the trade suppose you are getting a long trade setup in 1 hour chart than you should also be looking it in 4 hour or daily, what if the price is going to hit a major resistance zone in daily if that happen then the trade you are going to take will be looser in future because that resistance zone going to come in to play soon and can eat you stop loss.

So if you don't want that to happen that thing in future always look in bigger picture before take any trade decision.

If you do this before taken any trade it will save penny save is a penny earned"

PRICE FOOT PRINT

This is very interesting topic price foot print as I told you before price has a memory and it s behavior that it repeat thing very often when price has difficulty to cross any zone it always remember that and when price come to that level again it reacts to that level this phenomena called price foot print .

That's what pro traders always look left to see how price react to that level in past it is very important to understand the concept of price foot print because this is the point where price likely to turn or start an new move in the direction with huge movement.



In the above chart you can see importance of price foot print see how market react to this level I don't think you need any other indicatore which will tell you where price can turn or start a new move if you know how to use price foot print you always a head in the game .



Now in the chart above you can see price touch point (A) and bounce from that level after some time price again reaches that leavel again it baunce (B) at that leavel now we no this is a strong leavel so we mark this leave because price leave a strong foot print on that level now we are waiting for that leavel to see 1 of 2 things to happen,

1. **Either price bounces from that level again and change in the direction.**
2. **We or we can see strong momentum and price break that level with huge candle and show the selling pressure.**

Now as you can see in the chart we see a strong momentum and break of this level which show you importance of price foot print so every time you know what is likely to happen in future and we have better understanding of price .

Make your mind

As a trader it should be very important for us to clear over mind, what I mean by that is that you should either look to sell a pair on that particular time in that chart or you should be looking to buy.
Don't look for buy or sell in the same chart in same time frame because it will make your treading stress full and affect your trading decision.
As I told you we should be look for trade in bias market which clear its mind that it want to go up or down so why we violate that rule in over trading.
That's why we are looking either only buy or only sell as for the trade setup not both hope I make my point here.
Once you start doing it you will see that you trading will become stress free and most important of all become profitable.

ARE YOU READY

I think I give you general information about price
1. How market move.
2. What drives price.
3. How to spot trending market.
4. What is price foot print?
5. Why it is important to do malty time frame analysis.

Before I start with the system I want to tell you that no matter what kind of system you have right now if you only fallow this 5 tips you can improve your trading system a lot or can even become profitable in long run .also no matter what system we have this 5 tips is back bone of profitable trading because it shows you how price move reacts and why it going to change it s direction.

3W SYSYSTEM

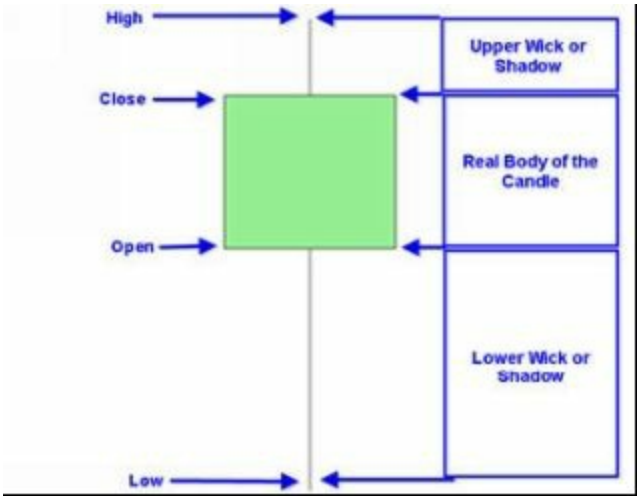
Why I choose to call this system 3w because our system answer all the 3w so that why we can trade far better than anyone else okay and if you have 3w in any system that system is going to be simple , effective , and profitable so what is this 3w stands for

1. **First w is stand for when to trade.**
2. **Second w stand for where to look.**
3. **Third w stands for what to look.**

In this system we will use candlestick chart not line chart not the bar chart we use candlestick chart why because the candlestick give us more information than bar chart and we can visualize it far better than bar chart .

Bulish candle

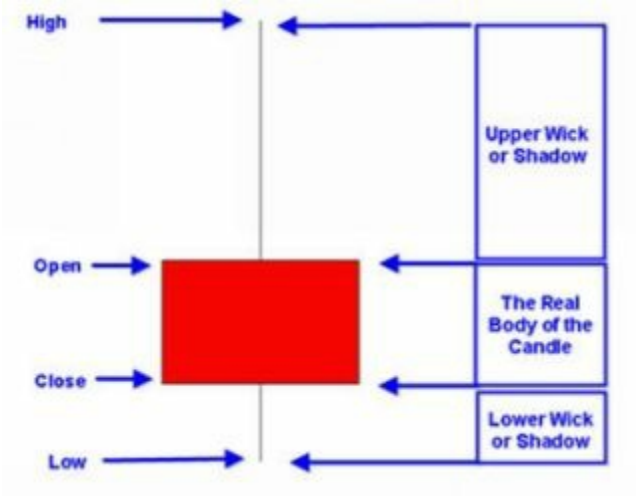
we have a bulish candel in this pic
Here you can see it open and close abvoe the price
Leavel so we got a bulish candel. Candel stick also show us high or low of the price on that time frame



bearish candle

we have a bearish candel in this pic
Here you can see it open and close below the price

Leavel so we got a bearish candel. Candel stick also show us high or low of the price on that time frame.



Now let's see a bar chart



Now let's see same chart with candle stick



You can see there are much more information than simple bar chart so why

choose bar chart where you can have a candle stick chart because it is much easier to take trade decision on candle sick chart .

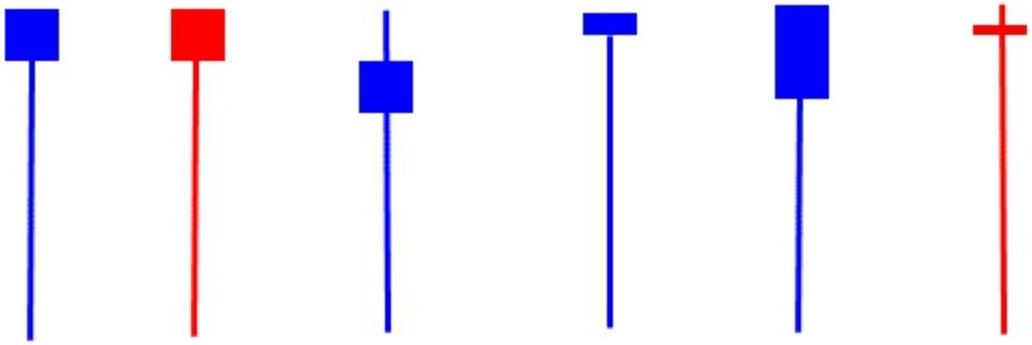
Price action -

For this system we are looking for candle stick pattern kinder of pin bar or a doji type structure if you are not familiar with this price action here.

Pin bar

pin bar is small real body with a long tail, the shadow of body can be upper or lower if you want text book explanation than the tail will be at least twice the size of real body. It is single bar pattern easy to spot easy to trade, sometime body differ from others so does the tail. But all in all the longer tail spin bar works best.

Why we want to use pin bar in this strategy because the long upper or lower tail show the rejection of price on that level, and that all we want for over system it show the rejection and the momentum in over side right time to enter the trade.



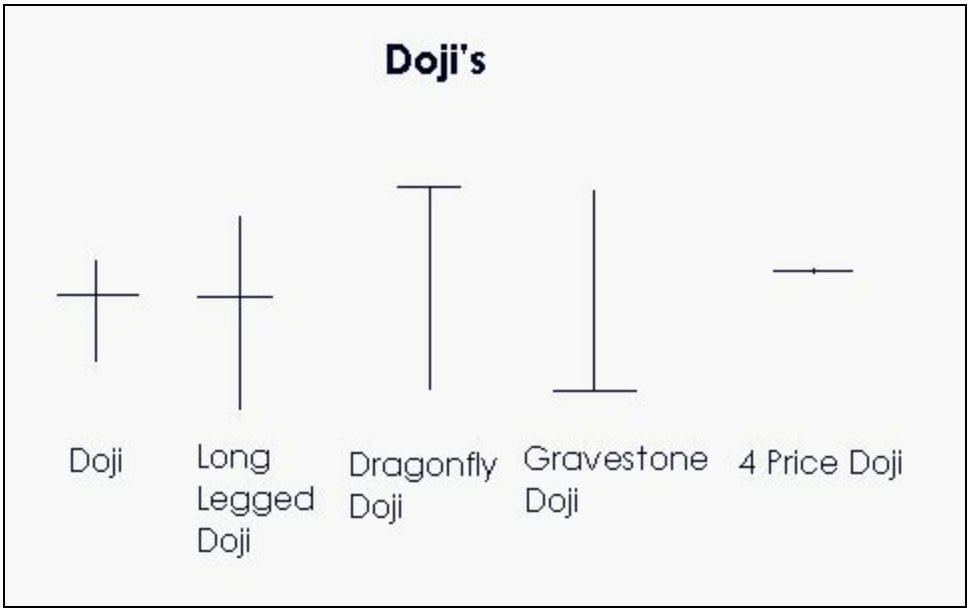
Let see if we can find them in our chart



So this is the chart of eur/usd and u can see this pin bar pattern comes in to play so many time okay and you can easily spot them in any chart you can see them in 4 hour chart ,daily chart even 15 minute chart.

DOJI

Pin bar and doji are almost the same the only deference is that, we have open and close in same level and all the character will be same.



But so far in over system we will be looking for two types of doji
1 dragonfly doji.
2 gravestone doji.
Let's see if we can spot doji in over chart.



As you can see in the chart there are doji almost everywhere, and you can easily spot them.

Moving average

any system will fail if it will not tell you where the trend is so it is important to trade with the trend if you want to be profitable in long run because it will give you psychological advantage that we trading with the trend so how we going to use moving average in this system just to see if price is above moving average it is in uptrend

And if it is below the moving average it is downtrend simple is that so which moving average we going to use in this system

30 moving average- I have try so may moving average all this year but 30 moving average really work best for me so far and give consistence positive result all this year so we are going to use 30 moving average. Most of the charting platforms have this moving average okay make sure you apply it on closing bases.

Step-1

Now open you charting platform make sure u use candle stick chart, plot 30 moving average.

Our chart setup will be look like this



Step-2

As you can see in the chart it is in uptrend why, because price is above 30 moving average and making

Higher high and higher low so let's mark the first high

UPTREND



Now point A is here over first high so we mark this level

At point B price break this level and after that make a pin bar that we are waiting for.

Downtrend

Let's see how to find trade setup in downtrend



Here in eur/usd 4 hour chart you can see price is below 30 moving average so we know that it is in down trend we can also see price is making lower low and lower high.

At point (A) it make it s first lower low so we mark this low to look for short trade in future after some time price break that level but did not come to retest that area so we are waiting in side way now price again make new lower low at point (B) we mark this area to look for possible short trade in future, after trading in side way for quite some time it break that area it come to retest it and trading for some time finally we got a dragon fly doji what we want to see to take a short trade and u can see the momentum after that doji a huge red candle .

You can see this kind of setup in any time frame and any forex pair you can even see them in future contract and stock and can trade them all of this trade is highly profitable you just have to make proper money management rule and cash the market ,

Let's see more example of this trade setup



Let's see some example in commodity crude oil 2 trades one for short and one for long.



Entry

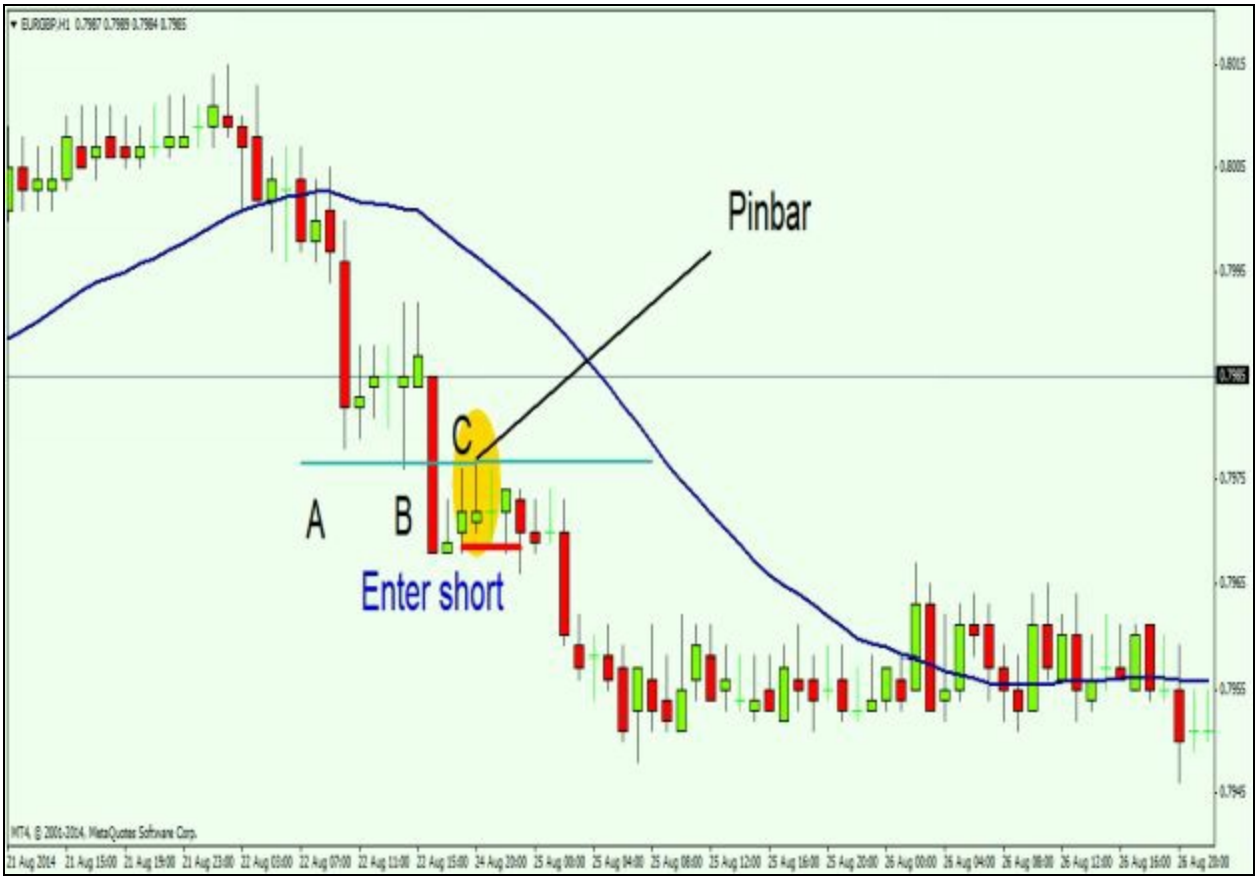
Long trade

Now let's discus our entry well as you already know that we are looking for pin bar or doji type structure okay which so simple and easy to spot we also know at what level or which time frame we are looking for the trade, once price make a higher high than we mark that level for future to find a trade on that level once price break that level and make a pin bar or doji than we wait for that pin bar to finish we put a buy limit 2 pips above that pin bar for long.



This is the cad/chf 4 hour chart price is above 30 moving average so we are only looking for buy price make s a higher high at point (A) and trade side way for the some time now at point (B) price again come to that level and trade in very tight range this means breakout is about to happen finally price break that level and next candle is a pin bar we are just waiting in side way now when the pin bar complete we put buy limit 2 pip above that and our order get triggered in next bar and price shoot s for +150 pips in over favor .

Short entry



This is eur/gbp 1h chart price is below 30 moving average so looking for short setup only price make lower low at point (A) so we mark this level price move up and down without momentum at point (B) it retest it and bounce from this level so this is a important level

Finally at (C) price break that level with huge red bar we are waiting for a pin bar as soon we got a pin bar we put sell limit 2 pips below that point .

Stop loss

Now let's talk about the stop loss because it is a back bone of any trading. It will also save you from losing trade no matter how profitable your system is if you will not use stop loss you will become looser in long run. Only one wrong trade can wipe out your profits so to be safe side always use stop loss when you enter in any trade.

How I became profitable is because I make my mind before I enter any trade I know what is my stop loss level and my profit level.

I enter the trade that's all no looking back either it hit profit or stop loss not moving any of them.

So let's talk about our stop loss level in our system here in this chart that will show you where we should place stop loss.



This is usd/jpy 4 hour chart we got our swing high at point (A) we mark this level, at point (B) it breaks that level it come back to that level and make a pin bar we put a buy order 2 pips above the pin bar and our stop los will be 2 pips bellow that pin bar also.

Now you may be asking why 2 pip below that pin bar?

And the answer for that is if you look in concept of pin bar, why pin bar forms simply because of the rejection of price on that level that price don't like to go that level and it quickly bounce from it so where else will be the safest place to put your stop loss .

Second reason is that it gives us minimal risk for great reword.

Money management rule

We all are trader we want to trade to make money but you cannot make money. If you don't use money management.

For any system to be profitable in long run what is the secrete? It is the solid money management rules which can make your system profitable, or I can even say that strategy ,system can make 10% profitable where 90% depend on your money management skills so it is important to have solid mm rules which you will not violate in future.

My money management rules are like this

1. Risk only 1% of my account. If I have 1000$ than I will risk only 10$ per trade.

2.i have fix my risk reword ration 1:2 so if I risk 10 pips per trade I look for 20 pips not more than that and not less than that

Suppose I have 1000$ in my account and this trade come to play let's see the chart first.



So now here is my set up for trade I know that I have 1000$ account don't like risk more than 1% and I have 50 pips stop loss than what will I do so I decide to take 0.02 position size in that trade so my loss will be 10 $ which is 1% of my account and my profit target will be 100 PIPs which will be some up to 20$ it is that simple.

If my stop loss will be 10 pips than I will go with 0.10 lot we have to adjust or stop as a 1% okay hope you got my point here.

Conclusion

That's all with the system guys

I have told you one of the most reliable systems which make me a profitable trader so far and give me consistence result all this year this system change my months negative to positive.

This system make me think that I can really make money in forex and it is a stress free system where you take a trade and close your terminal and sleep well and you don't have to wary about market anymore.

You stop second guessing that market will turn against you why because you are trading with the trend, you are taking momentum trade and you stop loss is in safe place.

This strategy has 85% wining ratio.

Golden rules of treading

in forex 95% people lose money not because they don't have profitable system they loose because of the mind set it is not get rich game .

Forex trading success is all about mindset most trader go wrong from start searchin1for Holy Grail and forex robot which can make them million.

Forex is no easy game if it is than 95% people will not be looser.

It is time for you to work, learn this new skill, time for u take responsibility for your trading decision. Your Success lies on your shoulders not mine I can only tech you the system you have to change your mindset as trader.

Another important fact is never change your trading rules never go against them don't even think to modify them even once.

Have confidence in you and your system, the more discipline you are more profitable you become.

All traders have losing streak or bad time and if you really want to succeed as trader the key is to have faith in your system don't just change it or look for something else if you keep doing that than forget about being profitable.

1. If you want to win than first learn how to take loss.

2. Look the loss before reword.

3. Do not take ego with you in your trading room

4. Leave emotion outside.

5. when system tells you to trade then only trade, not before that.

6. there will be time when you lose a trade, don't go for revenge trading because it will burn your account there will be trade setup in other pair find it and trade that.

2% rule

Well I don't look for how many pips I made or how many pips I loose in per trade because it is not relevant to think like that, we all are here to grow our account so we will be looking for trade in % base that how many % I am going to make or how many % I lose as I already told you before, making money is our concern not making pips. I try to go for 2% for any trade not more than that or not less than that why because it does not matter I have 100$ in my account or 10000000$ I know that per trade I am risking 1% of my account for 2% reword.

Let's take a scenario we got 30 trade this month.

Now if we win 20 trades than we make 40%

If we lose in 10 trade than we lose 10 %

Now we have 30% growth in our account

So if we have 100$ we make 30 $

If we have 1000$ we make 300$

And so on the point is that 2% rule is very strong.

Don't be greedy and increase it there are many opportunity to come. We can make money. It also makes you stress free and you enjoy your trades and life.

Q&A

Q.1 what is right time frame to look for trade?

Ans- Well it is a very important to trade this system in right time frame as I already told you before always look to trade in higher time frame I like to trade this in daily 4h &1h but not less than this because I like my trade to noise free .

Bigger the time frame clear the picture.

Q.2 when should we look for trade?

Ans- trend is your friend I newer trade against the trend we will be only searching for trades in trending market not ranging market we should be look for trade when market clears it mind or it already decide that it want to go up or down.

Q.3 how many trades we get in a month?

Ans - well it depends on market condition ,but as a average we get around 30 trades per month some time you will get more than 30 but an average 30 trade.

Q.4 can I become millionaire by doing it?

Ans – well you will not become rich in just one month so it depends on how you going to trade or how long you going to trade yes it is possible to cross that milestone after all we are in business if you do properly than you can easily get to that point .

Q.5 can we use this in commodity and stock?

Ans- Yes you can use this system to any kind of market as long as they are trending.

I hope you would have learn something today from this book some of you agree with me some disagree, and they think it is waste of time and money I don't know what you think about this system but if you think this system has potential to change your trading style and make you profitable than, let others also know If you just review it than others will also know about it why don't you help me as I help you and help others also by reviewing it.

You can review it here – just click the link

Thanks for your time and a very happy, profitable and successful Forex trading life.

If you have any question regarding this system and if you will not understand it

completely you can

Contact me in face book- [3W system]

Do you remember the blank chart ? I was talking about can you see the opportunity now here is the chart with the system.




one long opportunity
one short opportunity